OPERATING ANALYSIS · OCTOBER 2026

Caterpillar demand quality

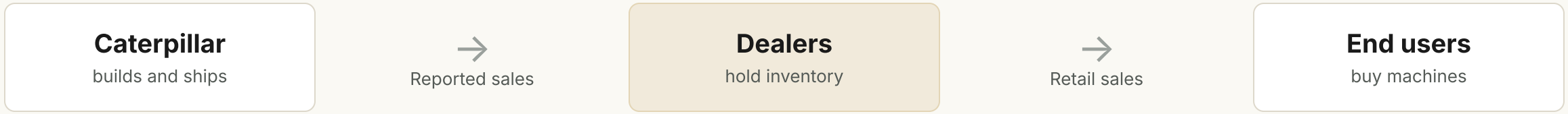
Was 2026 Construction Industries growth driven by real end-user demand, or by dealer restocking?

Sam Felix · Eight quarters, Q3 2024 – Q2 2026 · Caterpillar earnings releases and SEC filings · Revised 14 October 2026

THE QUESTION

Reported sales measure shipments to dealers, not demand from customers

Construction Industries reported sales grew 38.1% in Q1 2026 and 34.8% in Q2. Both figures count machines shipped to dealers.



Growth that stops at dealers reverses when they stop restocking; growth that reaches end users does not. In principle the gap between the two arrows tracks dealer stocking, but the two disclosures differ in price basis, scope, parts and services, and possibly currency, and dealer-inventory dollars are disclosed only in some quarters. So the comparison is a **directional signal**, not an accounting identity.

Caterpillar quarterly earnings releases; Ex 99.2 retail sales statistics.

THE FINDING

The evidence points to a material shift toward end-user demand in Q2 2026

$1.5B → $400M

Disclosed Construction Industries dealer-inventory build, Q1 to Q2 2026

7% → 22%

Retail sales growth to end users, the same two quarters

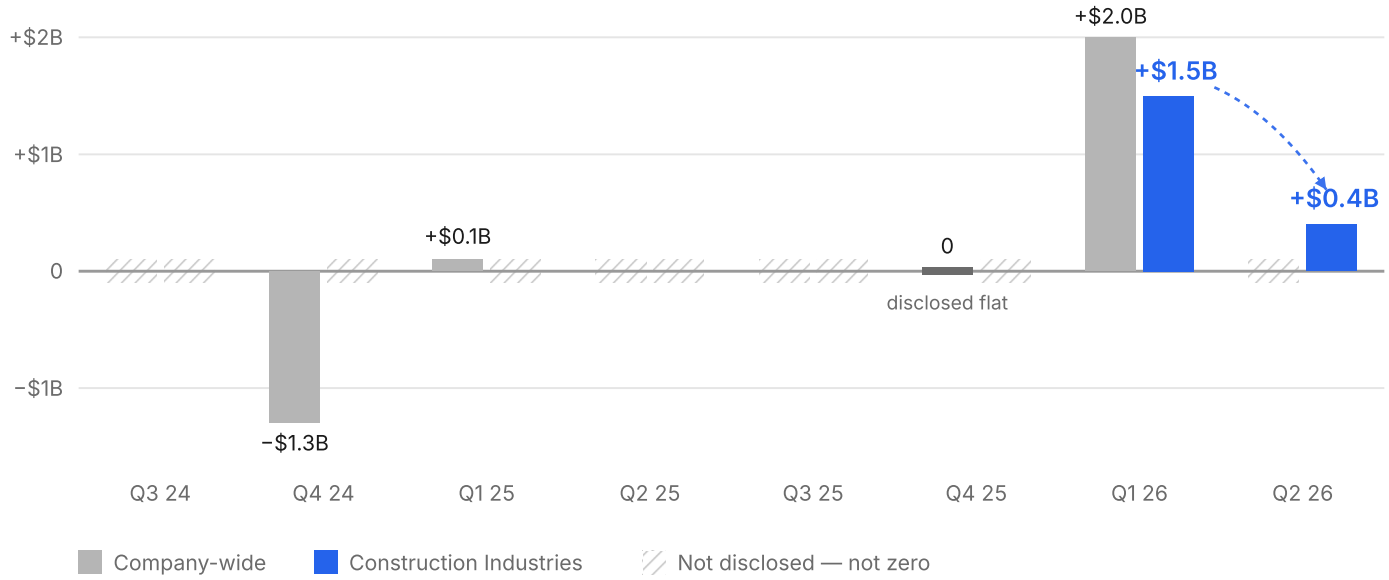
SOURCED Caterpillar's volume explanation named dealer inventories first in Q1 2026 and end users first in Q2.

INFERENCE We read that reversal as a shift in emphasis. Caterpillar does not say it lists drivers by size, so the order is not a measure of either driver.

Q1 and Q2 2026 earnings releases and Forms 10-Q; Ex 99.2 retail sales statistics.

FILED EVIDENCE

The disclosed CI dealer build fell sharply, to about a quarter of its Q1 size



Scope matters. Grey bars are company-wide; blue bars are Construction Industries. Segment-level dollars exist only for Q1 and Q2 2026. In Q1 2026, the only quarter with both, CI is 75% of the company-wide build.

Seasonality. Q1 is seasonally a build quarter (management: “a more typical $1.5 billion increase in the first quarter”), so part of the sequential decline may be seasonal. The year-over-year pressure test is the seasonally matched check.

Hatched slots were never disclosed: not zero. Q4 2025 was disclosed as flat.

Caterpillar quarterly earnings releases; Q1 and Q2 2026 Forms 10-Q, accessions 0000018230-26-000021 and -000046.

DEMAND QUALITY

The shipment-to-retail gap narrowed sharply, from ~24 pts to ~8 pts

Price-adjusted CI shipment growth less retail growth to end users. A wide gap is consistent with dealers stocking; a narrow one with machines reaching customers. Retail growth is disclosed in whole percentages, so the gap is shown to the nearest point.



Q1 2025 is the control case

A year earlier the pattern ran the other way: retail sales to end users rose 3% while price-adjusted CI shipments fell 13.8%, as **company-wide** dealer stocking slowed sharply (+$0.1B against +$1.4B a year earlier; no CI figure was disclosed that quarter).

A directional signal, not a dollar measure or an accounting identity: the two series differ in price basis, scope, parts and services, and possibly currency. Caterpillar earnings releases and Ex 99.2 retail sales statistics.

PRESSURE TEST

Does the directional read hold up? The sign does; the size cannot be tested

I tested the gap-implied stocking swing against the four quarters where Caterpillar disclosed a dealer-inventory change.

Construction Industries	Q1 2025	Q3 2025	Q1 2026	Q2 2026
Implied stocking swing (directional)	~−$1.1B	~+$0.2B	~+$1.3B	~+$0.5B
Disclosed build, this quarter	+$100M	Increase (no $)	+$1,500M	+$400M
Disclosed build, prior-year quarter	+$1,400M	Decrease (no $)	Slight decrease (unquantified)	Decrease (unquantified)
Scope of disclosure	**Company-wide**	—	**CI**	**CI**
Verdict	**SIGN AGREES**	**SIGN AGREES**	**SIGN AGREES**	**SIGN AGREES**
Why magnitude is not tested	CI estimate vs company-wide disclosure	No dollar disclosed	Prior-year build unquantified	Prior-year build unquantified

The sign agrees in all four quarters. The test supports direction, not size: the gap is a directional signal, not an accounting identity.

Underlying workbook, Analysis tab. Implied swings rounded because retail growth is disclosed in whole percentages.

OPERATING DRIVERS

Volume, not price, produced the 2026 growth

+$1,755M

Volume contribution to Q2 2026 CI sales growth, out of +$2,156M reported

+$356M

Price realization in Q1 2026, the first positive quarter in the series

$143M

Peak currency effect in any of the eight quarters: immaterial throughout

Price realization was negative in all six quarters from Q3 2024 through Q4 2025. Because volume carries the growth, where that volume went — to end users or into dealer inventory — decides whether it lasts.

Reconciliation caveat

In the workbook, volume, price, currency and inter-segment components reconcile to the reported CI sales change in seven of eight quarters. Q2 2025 closes by construction: its prior-year sales figure was back-solved from the bridge, so it is not an independent check.

Caterpillar quarterly earnings releases, Construction Industries segment sales bridges, Q3 2024 – Q2 2026.

FORWARD TEST AND MARGIN CONTEXT

What would confirm or break the thesis, and what margin can and cannot show

H2 2026 TESTS (INFERENCE, NOT FINDING)

If dealer inventory stops building or draws down in H2 2026 while end-user demand holds, reported growth should move toward retail growth, or trail it during destocking.

Strengthens

Retail growth stays elevated while dealer inventory growth keeps slowing or turns negative.

Weakens

Retail growth falls materially in H2 while inventories draw down, suggesting Q2's 22% was a spike.

Alternative (hypothesis)

Tariff-related price increases may have pulled purchases forward, inflating Q2 retail at the expense of H2.

CI MARGIN AND TARIFF COSTS

	Q4 2025	Q1 2026	Q2 2026
Reported segment margin	14.9%	21.4%	23.3%
Mfg costs, disclosed, $m (largely tariffs)	420	362	n.d.
Tariff impact, disclosed on call	—	—	340 bps
Tariff impact, derived, $m	—	—	~284
Cost drag, bps (workbook method)	~600	~510	—

The workbook-method bps are not comparable with the disclosed 340 bps. Ex-tariff margin is an upper bound: price realization partly recovered the same costs. The CI share of the $392M Q2 IEEPA recovery was not disclosed; CI margin is unlikely to be materially affected (inference).

4Q 2025, 1Q 2026 and 2Q 2026 earnings releases; Q2 2026 earnings call. n.d. = not disclosed.

HOW IT WAS BUILT

Every figure carries a source, a document and an evidence classification

8

Quarters analyzed

Q3 2024 – Q2 2026

28 / 32

Sales bridges reconcile independently

4 additional checks require caveats: 3 use back-solved prior-year values; 1 depends on a component disclosed only as "$3.1B"

5-level

Evidence classification

sourced · derived · back-solved · not collected · not disclosed

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Comparability issues logged

Renames, a restatement, basis changes

What the analysis cannot claim

- The gap is a directional signal, not an accounting identity or a dollar measure; the pressure test supports its sign, not its size.
- Q2 2026 retail strength is a single observation and needs H2 confirmation. Cash flow did not independently confirm the Q1 stocking thesis.
- Dealer-inventory dollars are not disclosed continuously at either scope, and Q1 is seasonally a build quarter.
- Q2 2026 call guidance, not an observed outcome: Caterpillar expects "a more typical reduction in Construction Industries dealer inventory of over $1 billion in the fourth quarter" and full-year 2026 tariff costs of around $2.2 billion, excluding approximately $400 million of expected IEEPA tariff recoveries (CFO Kyle Epley).

Quarterly earnings releases Q3 2024 – Q2 2026, Ex 99.2 retail sales statistics, and the Q1 and Q2 2026 Forms 10-Q. Management commentary not reproduced in a filing is identified as earnings-call commentary.